

Grace Townhomes — Cost Segregation Study Discrepancy Report

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Entity: Grace Townhomes Housing, LLC

EIN: 47-5360069

Property: 1212 Grace Circle, Ennis, TX 75119

FYE: December 31, 2024

Executive Summary

A cross-examination of the Grace Townhomes 2024 Federal Tax Return (Depreciation and Amortization Report) against the CSSI Cost Segregation Study (dated April 1, 2026) has revealed **three material discrepancies** that require attention before the reconciliation schedule can be finalized and before any amended return or Form 3115 is filed.

The most critical finding is that the study applied its pro-rata allocation ratio to **Asset #4 Equipment** (696,299) rather than ****Asset #9 Equipment**** (12,872), resulting in a study amount for Asset #9 that is **8.45 times larger** than the asset's actual tax return basis. Additionally, Asset #4 Equipment — a \$696,299 five-year property asset — is **entirely absent** from the cost segregation study, meaning a substantial accelerated depreciation opportunity may have been missed.

Section 1 — Tax Return Depreciable Assets (2024 Federal Return)

The following assets appear on the Grace Townhomes 2024 Depreciation and Amortization Report:

Asset #	Description	Date Acquired	Method	Life	Unadjusted Cost Basis
1	Building	12/17/2015	SL	27.5 yr	\$4,074,676.00
2	Land	12/17/2015	Non-depreciable	—	\$100,000.00
3	Land Improvements	12/17/2015	150DB	15 yr	\$384,403.00
4	Equipment	12/17/2015	200DB	5 yr	\$696,299.00
5	Building	01/14/2016	SL	27.5 yr	\$7,421.00
6	Organization Costs	12/17/2015	180M	—	\$9,660.00
9	Equipment	12/14/2018	200DB	5 yr	\$12,872.00
10	Loan Fees	05/16/2019	84M	—	\$70,766.00
11	Land — 754 MT	01/01/2020	Non-depreciable	—	\$315.00
12	Improvements — 754 MT	01/01/2020	150DB	15 yr	\$1,209.00
13	Building — 754 MT	01/01/2020	SL	27.5 yr	\$12,841.00

Total Depreciable Basis (all assets): \$5,370,462.00

Section 2 — Cost Segregation Study Coverage

The CSSI study covers only the **site improvements** portion of the property, totaling **\$806,490.90**. The study allocates this amount across four tax return asset numbers using a uniform pro-rata ratio of **15.6212%** applied to the tax return basis of each covered asset.

Asset #	Description	Tax Return Basis	Study Amount	Pro-Rata Ratio
#1	Building	\$4,074,676.00	\$636,512.99	15.6212%
#3	Land Improvements	\$384,403.00	\$60,048.41	15.6212%
#5	Building	\$7,421.00	\$1,159.28	15.6212%
#9	Equipment	\$12,872.00	\$108,770.22	845.01%
Total			\$806,490.90	

The study's grand total of 806,490.90 *represents* * *15.025,370,462), or **18.0%** of the four assets the study purports to cover (Assets #1, #3, #5, #9).

Section 3 — Discrepancy #1: Asset #9 Equipment — Wrong Basis Used

Severity: CRITICAL

The study allocated **\$108,770.22** to Asset #9 Equipment. However, Asset #9 on the tax return has an unadjusted cost basis of only **\$12,872.00**.

Applying the same 15.6212% pro-rata ratio to Asset #9's actual basis yields:

$$12,872.00 \times 15.62122,010.76^{**}$$

The study's amount of 108,770.22 *is* * *106,759.46 too high** — a difference of 8.45×

Root Cause Identified: The study applied the 15.6212% ratio to **Asset #4 Equipment (696,299)** rather than **Asset #9 Equipment (12,872)**:

$$696,299.00 \times 15.6212108,770.21^{**} \checkmark \text{ (matches study to within \$0.01)}$$

This means CSSI used the wrong asset number when applying the pro-rata allocation. The study's equipment amount is based on Asset #4's basis, not Asset #9's basis.

	Correct (Asset #9)	Study Used (Asset #4)	Overstatement
Basis applied	\$12,872.00	\$696,299.00	\$683,427.00
Pro-rata amount	\$2,010.76	\$108,770.22	\$106,759.46

Impact: The study overstates the reclassified equipment basis by **\$106,759.46**. If this is used as the basis for a Form 3115 catch-up adjustment, it will result in an incorrect (inflated) Section 481(a)

deduction.

Section 4 — Discrepancy #2: Asset #4 Equipment — Entirely Excluded from Study

Severity: HIGH

Asset #4 Equipment (\$696,299, 200DB 5-year, placed in service 12/17/2015) does **not appear anywhere** in the cost segregation study. This is a significant omission because:

1. Asset #4 is the **largest equipment asset** on the tax return by a wide margin (696,299 *vs.* 12,872 for Asset #9).
2. Equipment assets are typically the **primary target** of a cost segregation study — they carry the shortest recovery periods (5 or 7 years) and generate the largest accelerated depreciation benefit.
3. Applying the same 15.6212% pro-rata ratio to Asset #4 would yield a study allocation of approximately **\$108,770** — which is precisely the amount the study incorrectly assigned to Asset #9.

This strongly suggests that CSSI intended to cover Asset #4 but mistakenly labeled it as Asset #9 in the study output.

Potential missed depreciation benefit: If Asset #4 (696,299) had been properly included and reclassified, the study would have identified an additional *\$108,770** in accelerated depreciation basis — which at current 5-year MACRS rates represents a meaningful cash-flow benefit.

Section 5 — Discrepancy #3: Study Covers Only 15% of Total Depreciable Basis

Severity: MODERATE (informational)

The study's total allocation of 806,490.90 *represent only* *15.025,370,462). The remaining 85% — including the full building construction costs for all 26 structures (\$4M+) — was not analyzed by the study.

This is not necessarily an error; cost segregation studies are sometimes scoped to cover only site improvements or a subset of assets. However, it is worth confirming with CSSI that this limited scope was intentional and that the full building construction costs were not eligible for further reclassification.

Category	Amount	% of Total Return Basis
Assets covered by study	\$806,490.90	15.02%
Assets NOT covered by study	\$4,563,971.10	84.98%
Total depreciable basis (tax return)	\$5,370,462.00	100.00%

Section 6 — Summary of Findings and Recommended Actions

#	Issue	Severity	Recommended Action
1	Asset #9 Equipment: study used Asset #4's basis (696,299) instead of Asset #9's basis (12,872), overstating the study amount by \$106,759	Critical	Contact CSSI to correct the study. The Asset #9 allocation should be 2,010.76, <i>not</i> 108,770.22. Do not file Form 3115 until corrected.
2	Asset #4 Equipment (\$696,299) is entirely absent from the study	High	Confirm with CSSI whether Asset #4 was intentionally excluded or was the asset that should have been labeled #9. If excluded in error, request a revised study that includes Asset #4.
3	Study covers only 15% of total depreciable basis	Informational	Confirm with CSSI that the limited scope (site improvements only) was intentional and that full building construction costs were not eligible for reclassification.

Appendix — Pro-Rata Calculation Verification

The study uses a pro-rata allocation methodology. The ratio is derived as follows:

$$\begin{aligned} \text{Pro-rata ratio} &= \text{Study allocation for Asset \#1} \div \text{Tax return basis for Asset \#1} \\ &= 636,512.99 \div 4,074,676.00 = \mathbf{15.6212\%} \end{aligned}$$

This same ratio applies uniformly to Assets #1, #3, and #5, confirming the methodology. The ratio does **not** apply correctly to Asset #9 as labeled in the study — it applies to Asset #4.

Asset	Tax Return Basis	× 15.6212%	Study Amount	Match?
#1 Building	\$4,074,676.00	\$636,512.99	\$636,512.99	✓
#3 Land Imp	\$384,403.00	\$60,048.41	\$60,048.41	✓
#5 Building	\$7,421.00	\$1,159.28	\$1,159.28	✓
#4 Equipment	\$696,299.00	\$108,770.21	\$108,770.22	✓ (labeled as #9)
#9 Equipment	\$12,872.00	\$2,010.76	—	✗ (not in study)

This report was prepared based on the 2024 Grace Townhomes Federal Tax Return and the CSSI Cost Segregation Study dated April 1, 2026. All figures are sourced directly from those documents. This report does not constitute tax advice.